

No. 08-661

IN THE
Supreme Court of the United States

AMERICAN NEEDLE, INC.,

Petitioner,

v.

NATIONAL FOOTBALL LEAGUE, *et al.*,

Respondents.

ON WRIT OF CERTIORARI TO THE
UNITED STATES COURT OF APPEALS
FOR THE SEVENTH CIRCUIT

**BRIEF OF AMICI CURIAE NATIONAL
BASKETBALL ASSOCIATION AND NBA
PROPERTIES IN SUPPORT OF
RESPONDENTS**

Jeffrey A. Mishkin
Counsel of Record
Peter S. Julian
SKADDEN, ARPS, SLATE,
MEAGHER & FLOM LLP
Four Times Square
New York, NY 10036
Tel: (212) 735-3000

Richard W. Buchanan
NATIONAL BASKETBALL
ASSOCIATION
645 Fifth Avenue
New York, NY 10022
Tel: (212) 407-8000

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STATEMENT OF INTEREST

Amicus curiae National Basketball Association (the “NBA” or the “League”) is an integrated business enterprise that engages in the production of NBA Basketball.¹ The NBA is organized as a joint venture, with each of its thirty members operating a professional basketball team in a particular geographic location in North America. At its core, NBA Basketball consists of an annual schedule of NBA games, produced in accordance with a specified NBA format, played under NBA rules, and leading to a series of playoff games that culminate each year in the determination of an NBA Champion. As an entertainment product, NBA Basketball competes with scores of other sports and entertainment products, including college basketball, professional and college football, baseball, hockey, soccer, professional golf, and auto racing, as well as films, plays, concerts and other live and recorded programming. No individual NBA team is capable of producing NBA Basketball on its own.

To promote and expand its core business in competition with the host of sports and entertainment products in the market, the NBA, more than forty years ago, formed *amicus* NBA

¹ The parties provided blanket consents to the filing of all *amicus* briefs. No counsel for a party authored this brief in whole or in part, and no such counsel or party made a monetary contribution intended to fund the preparation or submission of this brief. No person other than *amici curiae* made a monetary contribution to its preparation or submission.

Properties (“NBAP”), a New York corporation owned equally by the thirty members of the NBA. NBAP serves as the marketing and licensing arm of the NBA and is the owner and/or exclusive licensor of all the intellectual property of the NBA and its member teams, including their logos, trademarks, colors, uniform designs, and trade dress. Among other things, NBAP promotes the popularity of NBA Basketball by creating and/or approving the use of League and team intellectual property, and licensing that intellectual property worldwide for incorporation into a wide variety of merchandise and services. Licenses for NBA League and team intellectual property compete vigorously with licenses for hundreds of other intellectual property brands, including intellectual property belonging to other sports entities like the National Football League, Major League Baseball, the National Hockey League, Major League Soccer, the PGA Tour, NASCAR, the International Olympic Committee, college athletic programs, and international football (soccer) leagues and clubs; entertainment firms like the Walt Disney Company, Warner Brothers, and Marvel Studios; producers of branded apparel like Nike, Champion, and Under Armour; and many others.

The League is the single source of economic power and control for the licensing of League and team intellectual property. With few historical exceptions, the League has created all the intellectual property rights held by individual teams, and, without exception, the League must approve the use of any intellectual property by any individual team. The economic value of NBA team logos, trademarks,

colors, trade dress and other indicia of NBA membership is the direct result of, and inseparable from, the team's association with, and membership in, the NBA. Nonetheless, the NBA repeatedly has been required to justify its intellectual property licensing decisions under the Rule of Reason in protracted, expensive antitrust litigation. The NBA and NBAP have an interest in a ruling that would permit a court to end such antitrust challenges at an early stage by determining that the licensing decisions of the NBA are the decisions of a single economic enterprise and thus not subject to scrutiny under Section 1 of the Sherman Act, 15 U.S.C. § 1 ("Section 1").

SUMMARY OF ARGUMENT

The test for determining whether, for any given activity, a professional sports league should be viewed as a single entity is whether the economic power to engage in that activity flows from a single source, rather than from multiple, independent sources. In *Copperweld Corp. v. Independence Tube Corp.*, 467 U.S. 752 (1984), this Court held that common corporate ownership was sufficient to establish a single source of economic power between a parent corporation and its wholly owned subsidiary. As such, the Court held, a parent and its subsidiary do not constitute the multiple, independent sources of decision-making and economic power that competition assumes, and therefore agreements between them may not be challenged under Section 1.

In the case of a professional sports league like the NBA or respondent National Football League (the

“NFL”), a similar basis exists for the conclusion that Section 1 does not apply to the licensing of league and team intellectual property. The NBA and the NFL are business entities organized as separately owned teams joined together to create a unitary product that no team could produce on its own. In the facet of a professional sports league’s activities that relates to intellectual property licensing, the league is the sole source of economic power and decision-making – and thus functions as a single economic entity – where it has for many years centrally created and/or approved the intellectual property of its member teams, and centrally controlled the licensing and use of that intellectual property.

It is irrelevant to the analysis that a league may permit its member teams some measure of independence to license their own intellectual property for limited purposes. Many commonly owned and controlled corporations – acknowledged single entities – permit or even encourage competition among their constituent members. But that competition is controlled by the corporate parent – the sole source of economic power – and can be adjusted or even extinguished if it fails to serve the interest of the entity as a whole. For this reason, the test for whether a professional sports league is a single entity under Section 1 is not, as the United States suggests in its *amicus* brief, whether the league and its teams have “effectively merged the relevant aspect of their operations, thereby eliminating actual and potential competition among the teams and between the teams and the league in that operational sphere.” (U.S. Br. at 6-7.) As long

as the economic power that controls the enterprise's competitive decision-making flows from a single source, the existence of actual or potential competition among constituent members of the enterprise is of no moment under the antitrust laws.

Nor should a professional sports league that does function as a single entity with respect to certain of its activities be constrained by the prospect of having to defend every decision with regard to that activity under the Rule of Reason. As this Court held in *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007), non-meritorious antitrust cases should be identified early and dismissed before the defendants and the federal courts are put to the burden of wide-ranging and costly antitrust discovery and litigation. The recognition of a professional sports league as a single entity for antitrust purposes in at least some facets of its operations – in this case, intellectual property licensing – would serve the goals expressed in *Twombly* of reducing the burdens of modern antitrust litigation, thereby encouraging the interbrand competition the antitrust laws seek to promote.

The judgment below correctly held that a professional sports league may be viewed as a single entity under the antitrust laws, and that, with respect to the licensing of intellectual property, the NFL is a single entity such that its member teams are incapable of conspiring with each other in violation of Section 1. The judgment below should be affirmed.

ARGUMENT

A. The Test for Whether a Professional Sports League Functions as a Single Entity Is Whether Its Economic Power Flows from a Single Source, Rather Than from Multiple, Independent Sources

In *Copperweld*, this Court held that a parent company and its separately incorporated, wholly owned subsidiary are properly understood for antitrust purposes to be a single economic entity, and not a plurality of economic actors whose conduct is subject to analysis and potential liability under Section 1. The Court based that holding on its view that the joint activities of a parent and its subsidiary neither “deprive[] the marketplace of . . . independent centers of decisionmaking,” nor “represent a sudden joining of two independent sources of economic power previously pursuing separate interests.” 467 U.S. at 769, 771. As the Court explained, the objectives of a parent and its subsidiary “are common, not disparate; their general corporate actions are guided or determined not by two separate corporate consciousnesses, but one. They are not unlike a multiple team of horses drawing a vehicle under the control of a single driver. . . . [T]he subsidiary acts for the benefit of the parent, its sole shareholder.” *Id.* at 771.

While *Copperweld* involved a corporate parent and its wholly owned subsidiary, the Court made clear that “substance, not form, should determine whether a separately incorporated entity is capable of conspiring under § 1.” *Id.* at 773 n.21. Any other

approach would “[s]ubject[] a single firm’s every action to judicial scrutiny for reasonableness,” and thereby “threaten to discourage the competitive enthusiasm that the antitrust laws seek to promote.” *Id.* at 775.

The *Copperweld* Court also observed that a parent and its wholly owned subsidiary “have a complete unity of interest.” *Id.* at 771. Petitioner and its *amici* construe this statement as requiring a complete absence of conflict or competition between affiliated entities for them to be viewed as a single economic entity under Section 1. But common sense and experience demonstrate that this interpretation cannot be correct. In *Chicago Prof’l Sports Ltd. Partnership v. NBA*, 95 F.3d 593 (7th Cir. 1996) (“*Bulls II*”), for example, the Seventh Circuit explained that the phrase “complete unity of interest” was a statement of fact about the parent-subsidiary relationship, not a proposition of law about the limits of permissible cooperation. Indeed, it is commonly understood that many acknowledged single entities permit and even encourage competition and divergent interests among their constituent units, divisions, or members. (*See infra* pages 21-24.) Requiring an enterprise to be “conflict-free” before it can be deemed a single entity for Section 1 purposes, Judge Easterbrook wrote for the Court, would be “silly.” *Id.* at 598.²

² Judge Easterbrook employed the examples of a vertically integrated enterprise and a law firm to illustrate his point that acknowledged single entities often contain a host of internal (continued...)

Likewise, in *City of Mt. Pleasant v. Associated Elec. Coop., Inc.*, 838 F.2d 268 (8th Cir. 1988), the Eighth Circuit held that separately operated member cooperatives of a rural electric cooperative, linked to each other and the cooperative through long-term all-requirements contracts rather than through common ownership, constituted a single entity under *Copperweld*. The appellate court reasoned thus:

It will always be true that separate companies, in one enterprise, that are located in separate areas and serve separate customers, will have varying interests. . . . Even though the cooperatives may quarrel among themselves on how to divide the spoils of their economic power, it cannot reasonably be said that they are *independent sources* of that power. Their power depends, and has always depended, on the cooperation

competing interests that must ultimately be resolved by a single source of decision-making power and control. *Bulls II*, 95 F.3d at 598. The constituent members of a vertically integrated firm may have competing views about whether to sell the upstream member's products into the marketplace or as inputs into the downstream member's product, and law firm partners may have competing views as to how best to divide the firm's profits. While these competing views demonstrate that the interests of the constituent members of a single enterprise are not always completely aligned, they do not suggest that vertically integrated entities and law firms are cartels that can be called on to justify under the Rule of Reason their decisions about how to produce and promote their products and services.

among themselves. They are interdependent, not independent. The disagreements [they have] are more like those among the board members of a single enterprise, than those among enterprises which are themselves separate and independent.

Id. at 277 (emphasis in original); accord *Eleven Line, Inc. v. North Tex. State Soccer Ass'n*, 213 F.3d 198, 205 (5th Cir. 2000); *Seabury Mgmt, Inc. v. Professional Golfers' Ass'n of Am., Inc.*, 52 F.3d 322, 1995 WL 241379, at *2-3 (4th Cir. 1995).

Rather than requiring a complete absence of conflict, the Court in *Copperweld* observed that a corporate parent and its wholly owned subsidiary “share a common purpose whether or not the parent keeps a tight rein over the subsidiary.” 467 U.S. at 771. Critically, “the parent may assert full control at any moment if the subsidiary fails to act in the parent’s best interest.” *Id.* at 771-72. The parent may grant its subsidiary the power to engage in certain competitive activities, perhaps even to compete with the parent or its other subsidiaries. But whenever the conduct of the subsidiary strays from the best interests of the corporate enterprise as a whole, the parent can decide to exert full control and reassert the common corporate purpose. Because a conspiracy under Section 1 contemplates a multiplicity of independent decision-making power centers, the existence of a single source of economic power and control residing in the parent corporation strips the parent and its subsidiary of the ability to conspire *inter se* within the meaning of Section 1.

The test for applying Section 1 under *Copperweld*, therefore, is whether in “substance, not form,” a single source of economic power controls the collective competitive decision-making of the separately incorporated members of the enterprise. Although, in *Copperweld*, common ownership provided the basis for this conclusion, other bases surely exist. In the case of a professional sports league like the NFL or the NBA, equally compelling grounds are supplied by: (i) the unique and unitary nature of the league’s core product, which cannot be produced by any separately owned team individually; (ii) the league’s foundational documents, which lodge ultimate control in the league collectively and not in the teams individually;³ and (iii) the league’s long history of operating as one source of economic power in the entertainment marketplace, creating the product itself, creating member teams, and creating and/or approving the use of all the intellectual

³ See NFL Br. at 3-6. In the NBA, all member teams agree to be bound by the NBA Constitution and By-Laws, Article 2 of which provides:

This Association is organized to operate a league consisting of professional basketball teams, each of which shall be operated by a Member of the Association. The Association and each of its Members shall be subject to the oversight and control of the Board of Governors of the Association as set forth herein and shall be governed by the Constitution and By-Laws, rules, regulations, resolutions, and agreements of the Association, as they may be modified or amended from time to time.

Const. & By-Laws of the NBA, Art. 2 (Apr. 9, 2002).

property that it and its member teams own and license. (See NFL Br. at 27-29 & *infra* at 12-21.)

In *Bulls II*, the Seventh Circuit observed that the NBA possesses characteristics of both a single entity, whose conduct is exempt from scrutiny under Section 1, and a joint venture, whose conduct is subject to the Rule of Reason under Section 1. More specifically, the court wrote:

Unlike the colleges and universities that belong to the National Collegiate Athletic Association, which the Supreme Court treated as a joint venture in *NCAA*, the NBA has no existence independent of sports. It makes professional basketball; only it can make “NBA Basketball” games; and unlike the NCAA the NBA also “makes” teams. [In 1995,] the NBA created new teams in Toronto and Vancouver, stocked with players from the 27 existing teams plus an extra helping of draft choices. All of this makes the league look like a single firm. . . . From the perspective of fans and advertisers (who use sports telecasts to reach fans), “NBA Basketball” is one product from a single source even though the Chicago Bulls and the Seattle Supersonics are highly distinguishable, just as General Motors is a single firm even though a Corvette differs from a Chevrolet.

95 F.3d at 599.

For these reasons, the Seventh Circuit saw “no reason why a sports league *cannot* be treated as a single firm.” *Id.* at 598 (emphasis in original). To the extent that the economic power controlling a professional sports league’s competitive decision-making flows from a single, centralized source, rather than from multiple, independent sources, the league and its member teams should be viewed as a single entity incapable of conspiring among themselves in violation of Section 1.

B. The NBA Is the Single Source of Economic Power and Control for the Licensing of League and Team Intellectual Property

As the Seventh Circuit observed, the NBA “makes professional basketball; only it can make ‘NBA Basketball’ games; and unlike the NCAA the NBA also ‘makes’ teams.” 95 F.3d at 599. The NBA also makes League and team logos, trademarks, trade dress and other intellectual property. This characteristic of professional sports leagues describes a principal distinction between them and other joint ventures. In most other joint ventures, the venture’s economic power generally flows from the decision-making centers of the independent business firms that form the venture. Such venturers typically existed before the formation of the venture, have independent productive capacity outside the venture, and are not themselves created by the venture. To the extent they individually own trademarks or other intellectual property, they generally created that intellectual property themselves.

By contrast, in professional sports leagues, where the venture's product is a series of competitive athletic contests between member teams, the venture itself typically creates new members to participate in the production of that product. (See NFL Br. at 5.) Indeed, the NBA has created sixty percent of its current thirty teams as expansion teams. To create an expansion team, the League designates an assigned territory for the new team; makes veteran players on existing teams available to play for the newly created team through a special expansion draft; provides the new team with highly detailed guidelines and directions for the operation of a team in the NBA; makes financing available through a League-wide credit facility at favorable rates; works with the new team to create the team's "brand" identity, including its name, logos, colors, trade dress, trademarks, and other intellectual property; frequently assists in the negotiation of the new team's arena lease; and provides the new team with a share of the League's national television, licensing and other revenue streams.

To the extent that the NBA has created teams to participate in the production of NBA Basketball, the source of those teams' economic power is undeniably the League itself. The joint activities of teams created by the League certainly do not "represent a sudden joining of two independent sources of economic power previously pursuing separate interests." *Copperweld*, 467 U.S. at 771. Those teams never had any existence outside the NBA; the only economic power they possess is the power the League granted when it created them. And like the corporate parent that grants some measure of

economic power to its wholly owned subsidiaries, the League can assert full control over the conduct of its member teams if their conduct does not serve the best interests of the League as a whole.

Similarly, when the NBA has invited pre-existing teams to join the League – as it did in 1976 when it invited four teams of the defunct American Basketball Association to join the NBA – it has extended that invitation under the auspices of the League Constitution and By-Laws, which requires the teams to relinquish any independent decision-making other than that granted to them by the NBA. Thus, even for pre-existing teams that join the League, the source of their economic power within the NBA is the League itself. They do not have any independent decision-making power; all their decision-making power within the NBA is conferred on them by the League, which can assert full control over their conduct at any time it believes a team's conduct does not serve the best interest of the NBA as a whole.

In addition to creating teams, the League creates and/or approves the use of all the intellectual property that it and its member teams own and license. NBAP creates team logos and uniform designs, experimenting with fonts, colors, logo layout and other elements to achieve designs that will be successful in all applications, including for instance in their appearance on television, on uniforms, in print media, and on consumer products. According to the NBA Operations Manual:

All logo and uniform designs must be created by the [League]. No team may create or use any logo or uniform design without the prior written consent of [the League, which] will provide project management, including timelines and delivery schedules, budget management for design and research costs, gathering all comments relating to the design, and general supervision of the design development.

Thus, for example, the League requires that “[a]ll new primary team logos must include the team city name and the team nickname. At least one component of the new team identity (i.e., the primary logo, the secondary logo, or the alternate mark) must include a basketball element as part of the design.” To be sure, teams may propose various components of their own intellectual property, including for example a team name that reflects local identity. But unless the League approves such a proposal, the team may not use the proposed component. The League may deny – and has denied – its approval for a proposed mark or logo if, for example, the League believes it may infringe the existing mark of another entity, if the font, graphic or color scheme is too similar to that of another team in the League or in the region (even in another sport), or if the font or graphic is unlikely to translate well in smaller sizes or on certain broadcast or internet applications or in certain manufacturing processes, like embroidery on clothing.

The League also controls the frequency with which a team may change its logo. Subject to certain specific exceptions, “[a]ny team that changes its primary logo and/or uniform will not be permitted to make another change to the primary logo and/or uniform for a minimum of ten (10) years.” In addition, the League precisely controls the timing of every deadline for the introduction of new intellectual property – from the initial application by the team through and including final approval by the League.

Similarly, the NBA controls the timing and manner of the launch of new team logos and uniforms. For example, the League often ensures that the launch of a new or changed logo or uniform design is announced at a League event, such as the NBA Draft, and typically requires that it be unveiled at Media Day (when teams meet the media each year just prior to the opening of training camp), with suitable fanfare and press coverage. All public announcements, press releases or other communications concerning the launch of a new logo or uniform design must be coordinated through and approved in advance by the League.

As part of its process for creating and approving team logos and other marks, NBAP searches and clears proposed team marks to ensure that they do not infringe existing marks. It subsequently files and prosecutes trademark registration applications in trademark offices around the world to protect such marks, and vigilantly enforces trademark rights on behalf of the League and the member teams.

The role of the League in the creation of each team's intellectual property is perhaps most clearly illustrated in the context of expansion teams, which, as noted above, make up sixty percent of the NBA. An expansion team begins with no pre-existing "brand" identity whatsoever; the NBA works with the new team owners to create one – a process that includes the team's name, logo, uniform design, and other marks. This new identity becomes valuable solely because of its association with the NBA brand, as viewers see the newly created team in a newly launched uniform design playing against teams with established, well-known identities, like the Los Angeles Lakers and the New York Knicks. Where the League is creating a team "brand" from nothing, the value of the NBA brand and the new team's association with it are the sole source of economic power that generates value in the new team's intellectual property. A clear example is the case of the Vancouver Grizzlies (now the Memphis Grizzlies as a result of the team's relocation), an expansion team that was created in 1995. The League created and announced the formation of the Vancouver team six months before the selection of the team name; nevertheless, the team was able to generate business and engage in successful promotional activities, including ticket sales and sponsorship deals, all through this six-month period, solely on the economic strength of the NBA brand and the new team's association with the NBA.

The League plays a similar role – and is similarly the sole source of economic power – with respect to the intellectual property of existing teams that move from one location to another, or simply want to

establish a new team identity. In the case of relocations, for example, sometimes a moving team retains its name – the New Orleans Jazz became the Utah Jazz when the team relocated to Salt Lake City – but nevertheless undergoes a recreation of its logo and marks. Other times, the moving team changes its whole identity, including its name – most recently, the Seattle Supersonics relocated to Oklahoma City as the Oklahoma City Thunder – in which case the team undergoes a complete intellectual property makeover. In these cases, too, the value of the NBA brand and the team’s association with the League are the sole source of the economic power that creates value for the team’s intellectual property. Even before the Oklahoma City Thunder had settled on a team name and identity, it was able successfully to sell tickets and engage in other promotion using a placeholder logo consisting solely of the words “Oklahoma City” inside a stylized basketball with the NBA “Logoman” logo. In all cases, regardless of the extent to which a team seeks to redefine its brand identity, NBAP thoroughly controls the creation and approval of all team intellectual property.

Once NBAP has created and approved the team’s intellectual property, it seeks to exploit those assets by identifying licensing opportunities and negotiating agreements on a worldwide basis. For more than forty years, the League has been the sole source of global intellectual property licensing for the NBA and its member teams. By licensing all the League and team intellectual property as a package, the NBA enhances the promotional value of all the

marks against the competing marks of other sports and entertainment licensors.

Furthermore, the League controls the worldwide promotion, distribution and sale of merchandise bearing League and team intellectual property. NBAP employs League assets, like the NBA Store on Fifth Avenue in New York and NBA.com, to promote NBA Basketball and to sell licensed products featuring NBA team marks, which in turn promotes NBA Basketball. NBAP similarly uses League-wide events, like Hardwood Classics Nights (where certain teams selected by the League wear uniforms specially designed to evoke the uniforms worn by those teams in the past) to promote NBA Basketball and products featuring League and team intellectual property. And NBAP coordinates with major retail accounts, like JC Penney and Target, to ensure the best possible retail strategy for the promotion, distribution and sale of product featuring the intellectual property of all thirty NBA teams. As a result of its efforts, NBAP has more than 230 licensees worldwide and NBA-licensed product (including product featuring NBA team marks) is available in 100,000 retail locations in 100 countries around the globe.

Since 1967, NBAP has been the exclusive licensor of League and team intellectual property. Notwithstanding that exclusivity, however, the NBA has granted member teams the limited ability to license their own team marks for use on merchandise for sale in the team's home arena. But even that narrow grant of authority is conditioned on the team having to submit a sample of any licensed product to

the League for approval before it may be sold in the team's arena, and the League has reserved the power to deny that approval if it believes that the team's limited sale of the proposed team-licensed merchandise would not serve the best interests of the NBA as a whole.

In short, for decades, the League has exercised complete control over the creation, use and licensing of all intellectual property that any team may use at any time in connection with the promotion of NBA Basketball, as well as over the promotion, distribution and sale of products featuring that intellectual property. There can be no dispute that, in the context of intellectual property licensing, the NBA and its members "are not unlike a multiple team of horses drawing a vehicle under the control of a single driver." *Copperweld*, 467 U.S. at 711. To the extent the NBA has permitted the teams to participate in the creation, use and licensing of their own intellectual property, it has strictly controlled that participation and has asserted its right to alter that participation or deny its approval when a team's conduct with respect to its intellectual property does not serve the best interests of the League as a whole.

Under these circumstances, the NBA is the sole source of economic power with respect to the use and licensing of League and team intellectual property. There is one, and only one, center of decision-making in this regard – the League – and its actions are guided by a single consciousness. With respect to the licensing of the NBA's League and team intellectual property, the NBA and its member teams are

therefore a single entity incapable of conspiring *inter se* in violation of Section 1.

C. The Existence of Competition Among the League and Its Member Teams Does Not Strip the League of Its Single Entity Status With Respect to the Licensing of Intellectual Property

In its *amicus* brief, the United States readily acknowledges that a professional sports league may be viewed as a single entity under Section 1, but argues that such treatment is appropriate only if (i) the teams and the league have “merged the relevant aspects of their operations, thereby eliminating actual and potential competition among” them and (ii) the challenged restraint does not “significantly affect actual or potential competition among the teams or between the teams and the league outside their merged operations.” (U.S. Br. at 6-7.) But competition – actual or potential – between two separately incorporated firms is not the relevant issue for determining whether those two firms are governed by a single source of economic power and are thus incapable of conspiring between themselves within the meaning of Section 1.

There are countless examples of subsidiaries and divisions of a single parent company that compete with one another and with their parent. Notwithstanding the “actual and potential competition” among these entities, their collective conduct is not subject to challenge under Section 1 because they are readily acknowledged to be single economic enterprises.

- In the automobile industry, for example, General Motors Corporation owns Cadillac, Buick, Chevrolet, Pontiac, Saturn, SAAB, Hummer and Daewoo, operating some as divisions, others as subsidiaries, each of which competes with the others and all of which are subject to a single source of economic power and control. These divisions and subsidiaries compete with one another, but the parent corporation, General Motors, may assert full control at any moment if any division or subsidiary fails to act in the parent's best interest.
- In the automobile rental industry, Avis Budget Group, Inc., operates Avis and Budget as two separate, wholly owned subsidiaries that compete with one another. Likewise, Enterprise Holdings, Inc., operates Alamo, Enterprise and National as three separately incorporated subsidiaries that compete with each other. That competition is controlled, however, by the parent corporation, which may assert full control at any moment if the subsidiaries fail to act in the best interest of the enterprise.
- In the hotel industry, Hilton Worldwide operates Conrad, Doubletree, Embassy Suites, Hampton Inn, Hilton and Waldorf Astoria hotels as separately incorporated wholly owned members of a single enterprise. Similarly, Starwood Hotels & Resorts Worldwide, Inc., operates the Aloft, Elements, Four Points, Le Meridien, Sheraton, St. Regis,

W, and Westin hotel chains. The constituent members of these hotel enterprises operate as separate divisions that compete with one another, but are controlled by a single source of economic power that may assert full control at any moment if the competing chains fail to act in the corporate parent's best interest.

- Similar examples exist in the travel industry (Carnival Corporation plc operates Carnival, Costa Cruises, Cunard Cruise Lines, Holland America, P&O Cruises and Princess Cruise Line, among others, as separate divisions or subsidiaries), in the retail clothing industry (Macy's, Inc., operates Macy's and Bloomingdales as two separately incorporated constituent members of a single enterprise), in the publishing industry (Random House U.S.A., Inc., operates Ballantine, Crown Publishing, Knopf Doubleday Publishing, Random House, Bantam Dell Publishing Group and Transworld Publishers as separate competing divisions), in the restaurant industry (Yum! Brands, Inc., operates A&W Restaurants, KFC, Long John Silver's, Pizza Hut and Taco Bell as separately incorporated constituents within a single entity), and in the supermarket industry (The Great Atlantic & Pacific Tea Company, Inc., operates A&P, Waldbaum's, Food Emporium, and Pathmark as separately incorporated competitors within a single enterprise).

These examples and hundreds of others demonstrate that the test advanced by the United

States is focused on the wrong issue. Regardless of the extent to which the constituent members of these and other parent corporations and their subsidiaries or divisions actually or potentially compete, their common attribute from a Section 1 perspective is that a single source of economic power controls the nature, scope and extent of that competition. In each case, the sole center of decision-making determines the level of competition in which the enterprise's constituent members will engage, and retains the ability to assert control over the constituents if that competition no longer serves the common interest. Under *Copperweld*, it is the ability of a single decision-making center to assert control over the competition among the constituent parts of the enterprise, and not the absence of actual or potential competition between separately incorporated firms, that determines whether the separately incorporated firms are sufficiently aligned in interest to constitute a single entity under Section 1.

D. An Early Determination of Single Entity Status Is Consistent With the Goals Expressed in *Twombly*

Whether a professional sports league functions as a single entity with respect to specific conduct challenged under Section 1 is a threshold issue that can bring otherwise costly and burdensome antitrust litigation to an early end. Several *amici* suggest that the legality of league decisions should continue to be judged under the Rule of Reason, and that district courts could carefully manage the discovery process to weed out groundless cases early in the discovery process. But in *Bell Atlantic Corp. v. Twombly*, 550

U.S. 544, 558 (2007), this Court rejected the notion that careful case management would suffice to reduce the enormous costs, burden, and *in terrorem* settlement leverage that antitrust litigation brings to bear on defendants.

It is no answer to say that a claim just shy of a plausible entitlement to relief can, if groundless, be weeded out early in the discovery process through “careful case management,” . . . given the common lament that the success of judicial supervision in checking discovery abuses has been on the modest side. *See, e.g.*, Easterbrook, *Discovery as Abuse*, 69 B.U. L. Rev. 635, 638 (1989) (“Judges can do little about impositional discovery when parties control the legal claims to be presented and conduct the discovery themselves”). And it is self-evident that the problem of discovery abuse cannot be solved by “careful scrutiny of evidence at the summary judgment stage,” much less “lucid instructions to juries,” . . . ; the threat of discovery expense will push cost-conscious defendants to settle even anemic cases before reaching those proceedings.

Id. at 559.

Moreover, the extensive use and accumulation of electronic mail and other electronically stored information, and the concomitant burgeoning of electronic discovery, has expanded the costs of modern antitrust litigation exponentially. *See, e.g.*,

George L. Paul & Jason R. Baron, *Information Inflation: Can the Legal System Adapt?*, 13 Rich. J. L. & Tech. 10 (2007). Indeed, the cost of electronic discovery alone can exceed the defendant's potential liability by several times. Institute for the Advancement of the Amer. Legal Sys., *Electronic Discovery: A View from the Front Lines* 5 (2008).

The antitrust litigation experience of the NBA is evidence of the failure of traditional "case management" to weed out non-meritorious lawsuits. Since the 1960s, the NBA has defended itself against a barrage of groundless antitrust challenges. See, e.g., *Wilson v. Salem Sportswear, Inc.*, No. 96-2286, 1997 U.S. App. LEXIS 30331 (6th Cir. Oct. 30, 1997);⁴ *Chicago Prof'l Sports Ltd. Partnership v. NBA*, 95 F.3d 593 (7th Cir. 1996); *Durkin v. Major League Baseball*, 85 F.3d 611 (3d Cir. 1996) (table decision);⁵ *NBA v. Minnesota Prof'l Basketball Ltd. Partnership*, 56 F.3d 866 (8th Cir. 1995); *NBA v. Williams*, 45 F.3d 684 (2d Cir. 1995); *NBA v. SDC Basketball Club, Inc.*, 815 F.2d 562 (9th Cir. 1987); *Wood v. NBA*, 809 F.2d 954 (2d Cir. 1987); *Kingray, Inc. v. NBA*, 188 F. Supp. 2d 1177 (S.D. Cal. 2002); *Bohanon v. NBA Foundation, et al.*, Case No. 00-08257 (JSL) (C.D. Cal.); *NBA Properties, Inc. v. Salvino, Inc.*, No. 99 Civ. 11799 (AGS) (S.D.N.Y.); *Ewing v. NBA*, Case No. 4-95-411 (D. Minn.); *Independent Entertainment Group, Inc. v. NBA*, 853 F. Supp. 333 (C.D. Cal. 1994); *Bridgeman v. NBA*,

⁴ The defendants included the NBA and NBAP.

⁵ The defendants included the NBA,

675 F. Supp. 960 (D.N.J. 1987); *Schlafman v. NBA*, 79 Civ. 1933 (WCC), 1979 U.S. Dist. LEXIS 8629 (S.D.N.Y. Nov. 9, 1979); *American Basketball Ass'n Players Ass'n v. NBA*, 404 F. Supp. 832 (S.D.N.Y. 1975); *Levin v. NBA*, 385 F. Supp. 149 (S.D.N.Y. 1974); *Saunders v. NBA*, 348 F. Supp. 649 (N.D. Ill. 1972); *Molinas v. NBA*, 190 F. Supp. 241 (S.D.N.Y. 1961). This litigation has been time-consuming and expensive. By the time *Bulls II* was decided in 1996, for example, the case had been pending for six years, 95 F.3d at 599, and had cost the League tens of millions of dollars to defend. (If that case were brought today in the current electronic discovery environment, the cost would be exponentially higher.) Even relatively smaller antitrust matters, like *Kingray* and *Salvino*, have caused years of business disruption and cost millions of dollars.

To be sure, not all of the types of sports league business practices challenged in these lawsuits are at issue in this case. But looking solely at the areas of promotion and intellectual property licensing, sports leagues repeatedly have been forced to justify basic business decisions (like whether to grant an exclusive license) under a protracted Rule of Reason analysis. Although the possibility of treble damages awards should be minimal in such groundless cases, it is not nonexistent. More importantly, the burden and costs of defending such cases are enormous, and imprudently chill the competitive zeal with which sports leagues like the NBA are able to compete in the entertainment marketplace. A holding that the decisions of a professional sports league with respect to intellectual property licensing are not subject to attack under Section 1 would save the parties and

the judicial system substantial resources, and would encourage the interbrand competitive enthusiasm the antitrust laws seek to foster.

CONCLUSION

The judgment below should be affirmed.

Respectfully submitted,

Jeffrey A. Mishkin
Counsel of Record

Peter S. Julian
SKADDEN, ARPS, SLATE,
MEAGHER & FLOM LLP

Richard W. Buchanan
NATIONAL BASKETBALL
ASSOCIATION

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